

Tech Mahindra Ltd | TECHM | Information Technology

Tech Mahindra Ltd provides comprehensive range of IT services, including IT enabled service, application development and

Key Performance Indicators

ROE %	ROCE %	NPM %	D/E	Rev CAGR 5yr	FCF (Cr)
8.99%	9.21%	4.61%	0.1	8.4%	5058.0

Profit & Loss Summary (Rs. Crore)

Year	Sales	Op Profit	Net Profit	OPM%	EPS
2017-03	29141.0	4184.0	2851.0	14.0%	29.0
2018-03	30773.0	4710.0	3786.0	15.0%	39.0
2019-03	34742.0	6271.0	4289.0	18.0%	44.0
2020-03	36868.0	5503.0	3897.0	15.0%	42.0
2021-03	37855.0	6796.0	4353.0	18.0%	46.0
2022-03	44646.0	8020.0	5630.0	18.0%	57.0
2023-03	53290.0	7763.0	4857.0	15.0%	50.0
2024-03	51996.0	4506.0	2397.0	9.0%	24.0

Key Ratios Trend

Year	ROE%	ROCE%	D/E	FCF(Cr)	Rev CAGR
2019-03	21.14%	23.08%	0.1	2328.0	13.07%
2020-03	17.87%	15.92%	0.17	5439.0	10.26%
2021-03	17.51%	19.22%	0.12	2661.0	7.4%
2022-03	20.94%	22.03%	0.1	5765.0	8.91%
2023-03	17.39%	18.93%	0.1	5346.0	11.61%
2024-03	8.99%	9.21%	0.1	5058.0	8.4%

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Balance Sheet Summary (Rs. Crore)

Year	Equity	Reserves	Borrowings	Total Assets
2019-03	444.0	19841.0	1996.0	33446.0
2020-03	436.0	21377.0	3670.0	37318.0
2021-03	437.0	24428.0	2901.0	39602.0
2022-03	439.0	26447.0	2618.0	44416.0
2023-03	440.0	27484.0	2740.0	45827.0
2024-03	441.0	26228.0	2537.0	43149.0

Cash Flow Statement (Rs. Crore)

Year	CFO	CFI	CFF	Net Cash
2022-03	5285.0	480.0	-4667.0	1098.0
2023-03	5572.0	-226.0	-5078.0	267.0
2024-03	6376.0	-1318.0	-4767.0	291.0

Capital Allocation Pattern

Reinvestor

Strengths

- + Strong free cash flow generation over 5 years signals healthy business fundamentals
- + Very high interest coverage ratio reflects negligible financial stress from debt servicing
- + Consistent dividend yield above 2% backed by positive free cash flow

Concerns

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Revenue contraction over 2 consecutive years indicates demand weakness or market share loss
- Dividend payout ratio above 100% means the company is paying dividends from reserves which is unsustainable
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability